



### Liquidity

24/7 tradable on Trakx.io  
Third party liquidity providers



### Safety

Institutional grade  
Secure storage



### Diversification

Low correlation to  
other asset classes



### 100% Asset-backed

Fully auditable  
Collateralised assets

For professional investors only

# Trakx BTC Momentum

as of 01 Jan 2025

## About Trakx

Trakx is a global fintech company creating new standards for digital asset investments. Through our trading platform, we offer thematic Crypto Tradable Indices (CTIs) and customised solutions, providing sophisticated investors a high degree of compliance, security and liquidity. Trakx is registered with the French regulator (AMF).

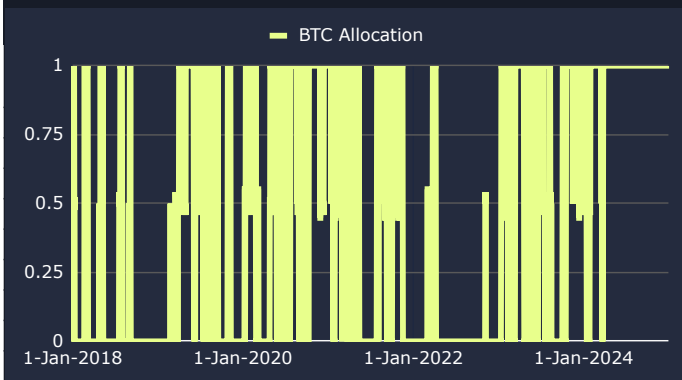
## About the CTI

This instrument is designed to replicate the performance of a dynamic allocation to Bitcoin based on the direction and strength of price momentum.

Many investors are optimistic about bitcoin's long-term potential but wary about its volatility and potential sharp drawdowns. Trend signal may be used as a risk management framework to add or reduce exposure to bitcoin that has historically exhibited strong trending behavior.

Trakx momentum dynamic allocation has historically captured most of price appreciation of bitcoin while mitigating major drawdowns.

## Historical Allocation to Bitcoin



## Allocation Methodology

- Trades only long bitcoin positions, with an allocation of either 0%, 50% or 100%, identifying trend breakouts and applying filters to mitigate weak trading signals.

- Remaining of exposure is allocated to USDc.

- Daily rebalancing with steps of 50% for allocation changes.

## Benefits

Some of the benefits of Trakx BTC Momentum are:

- Provides long-term capital gains in the crypto market with strong risk management process.

- Allows investors to benefit from additional portfolio diversification by delivering attractive returns from digital assets that have a low correlation to traditional asset classes.

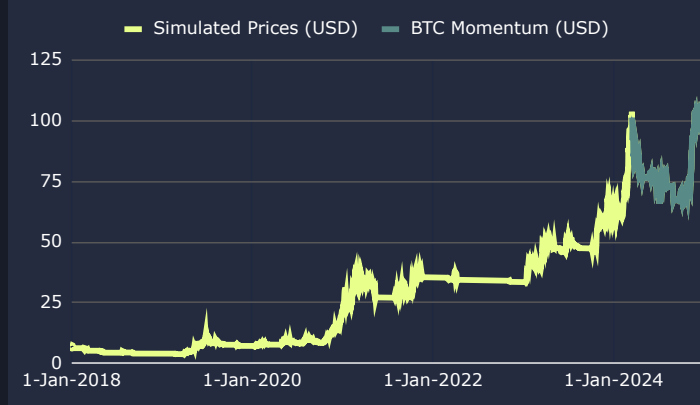
- No hassle: automatic and passive #BTC rebalancing.

- Daily liquidity 24/7/365.

## Historical Performances

Index returns and statistics are for illustration only. All data were calculated from the historical prices of the constituents. Index returns do not reflect any transaction costs or expenses. Past performance does not guarantee future results.

Source: Kaiko, CoinGecko



|                             | 1 month             | YTD  | Since**<br>31 Dec 2017 |
|-----------------------------|---------------------|------|------------------------|
| Index Returns (USD)         | -5%                 | 53%  | 1384%                  |
| Annualized Volatility       | 37%                 | 45%  | 40%                    |
| Index Sharpe Ratio          | -1.43               | 1.17 | 4.89                   |
| Bitcoin Sharpe Ratio        | -0.84               | 2.43 | 0.47                   |
| Max. drawdown               | -11%                | -37% | -48%                   |
| Correlation to S&P 500      | 0.08                | 0.06 | 0.002                  |
| Correlation to a 60/40 pfl* | 0.23                | 0.06 | -0.01                  |
| Bitcoin Market Cap          | \$1,822,600 million |      |                        |

\*simulated portfolio of 60% Equities (S&P500) and 40% of bonds (Long Term US Treasury bonds ETF)  
\*\*includes simulated performances

## Key Facts

### CTI (investment instrument)

|                      |                                                                                               |
|----------------------|-----------------------------------------------------------------------------------------------|
| Sponsor              | Trakx SAS                                                                                     |
| Product Ticker       | LIBTCMOM                                                                                      |
| Investment Objective | Allocate to Bitcoin based on price momentum                                                   |
| Eligible Investors   | Professional investors in EEA and Switzerland<br>Not to be offered to US clients or in the US |
| Currency             | USDc                                                                                          |
| Management Fee       | 2%                                                                                            |
| Performance Fee      | 0%                                                                                            |
| Inception Date       | 14 March 2024                                                                                 |
| Expiry Date          | Open-Ended                                                                                    |

### Underlying Index

|                    |                              |
|--------------------|------------------------------|
| Name               | Trakx BTC Momentum           |
| Nb of constituents | 2 - BTC and USDc             |
| Leverage           | 1                            |
| Rebalancing        | Daily                        |
| Weighting          | 0%-100%                      |
| Data source        | Kaiko, Coingecko             |
| Custodians         | Coinbase Custody, Fireblocks |

## Risk Factors of the Product

Prospective investors should ensure they fully understand the nature of this product and the extent of their exposure to certain risks. They should consider the suitability of this product as an investment based on their own personal circumstances and financial situation, investment experience, and investment objectives. This product could involve a high degree of risk. Potential investors should be prepared, in certain circumstances, to sustain a total loss of their invested capital. Prospective investors should also consider the following important risk factors below and discuss this investment with their trusted advisors to help verify this product is suitable for their portfolio. Note, the terms and conditions of this product are subject to change during the lifetime of the product.

### Market Risks

The general market performance of this instrument is dependent on various endogenous and exogenous factors. Market disruptions such as trading or exchange interruptions, the discontinuation of trading, or other unforeseeable occurrences concerning the respective instrument and/or its underlying assets, the exchanges, market participants, and other factors may take place during the life of this product. Such occurrences can influence the timing of redemption and/or on the market value of this product. Past performance is not a reliable indicator of future performance.

### No Dividend Payment

Investors should have no expectation of influence over Trakx's shareholders' general meetings as well as no rights to Trakx's earnings nor other interests in the company, such as dividends.

### Termination Risk

Trakx may terminate the product if it doesn't meet the requirements of our clients. In any case, Trakx will announce the delisting thirty (30) days prior to the end date. On the last day, all relevant customer positions on 'to-be' delisted CTI will be sold at their NAVs and converted to USDc onto the customers' wallets.

### Liquidity Risk

At rebalancing, Trakx only includes constituents that meet minimum liquidity requirements. Trakx is not responsible for the liquidity shortage on the platform, if there is insufficient liquidity on certain constituents, customers may choose to redeem their CTI at a lower price than the NAV. Digital assets may have limited liquidity which may make it difficult or impossible for you to sell or exit a position when you wish to do so. This may occur at any time, including at times of rapid price movements.

### Tax Implication

There may be a tax implication on investing in this product. Trakx does not provide any tax opinion. Any Investors should consult with their own tax advisor prior to investing in the product. In addition, investors should be aware that taxation, with respect to the underlying(s) and therefore this product, may (adversely) change over the lifetime of this product.

### Foreign Exchange Risk

The investor in the product is exposed to foreign exchange rate risk if the currency of the underlying and settlement currency are not identical.

#### Volatility of Crypto-Assets

The value of crypto-assets may change significantly, even on an intraday basis. As the volatility of crypto-assets may currently be higher than traditional assets, changes and advances in technology, increases/decreases in fraud, theft, cyberattacks, regulatory changes, and other factors, further stress the potential of exaggerated investment gains or losses in this product. In addition, crypto-assets lack the historical track record of other traditional financial assets, thus increasing performance uncertainty.

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